

Circular NR-03 — Artificial Intelligence Governance — New Mandatory Framework

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Issuing Authority:	Financial Regulatory Authority	Classification:	MANDATORY

1. New AI Governance Mandate

This circular introduces the Authority's first binding AI Governance Framework for regulated financial institutions. All firms using AI or machine learning models in credit decisioning, fraud detection, customer triage or regulatory reporting must comply with this framework by 1 Dec 2025.

2. Model Risk Management

All AI models must be subject to formal model risk management including pre-deployment validation, ongoing performance monitoring and annual independent review. Model inventory must be maintained covering purpose, data inputs, algorithm type, performance metrics and approval history.

3. Explainability Requirements

AI models used in credit decisioning must be capable of providing human-readable explanations for adverse decisions. Black-box models are prohibited for decisions that materially affect individual customers. Explainability methodology must be disclosed to affected customers on request.

4. Bias Testing

Mandatory bias and fairness testing is required before deployment and annually thereafter. Testing must cover protected characteristics including age, gender and ethnicity. Firms must submit bias testing results to the Authority by 30 Sep 2025.